POLICY BRIEF
SHORT TIME WORK SCHEMES OF ITALY IN 2020: WHAT COULD HAVE BEEN DONE BETTER?

Forwarded to the Italian Ministry of Labour and Social Policies

EXECUTIVE SUMMARY

The COVID-19 pandemic revealed significant weaknesses in Italy's Short-Time Work (STW) schemes, necessitating improvements for future effectiveness. Key challenges included administrative delays due to complex procedures, inadequate long-term unemployment solutions, and unequal access to benefits. To address these issues, we recommend developing a centralized data system to streamline documentation and reduce delays, implementing a dual strategy that balances immediate job preservation with long-term labor market flexibility through retaining and reskilling programs, and simplifying the application process while increasing awareness and support for small businesses and the informal economy. These measures will enhance the efficiency and inclusivity of Italy's STW schemes, providing better support for workers and businesses during future economic crises.

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INTRODUCTION

During the COVID-19 pandemic, the global economy faced unprecedented challenges, prompting governments to implement emergency measures to safeguard jobs and support businesses. Among these measures, STW schemes emerged as a crucial tool to mitigate the impact of the crisis on employment. In the European Union (EU), more than 42 million workers, approximately one quarter of the workforce, applied for STW or similar schemes by the end of April 2020.

In response to the economic challenges posed by the pandemic, the Italian government implemented a range of measures to support businesses and workers. Among these, the Short-Time Work (STW) schemes, particularly the Cassa Integrazione Guadagni (CIG), played a crucial role in mitigating the economic fallout.

Italy’s prior experience with STW schemes during the 2008-2010 financial crisis enabled a swift and effective deployment of these measures once again. The CIG, which allows workers to receive unemployment benefits covering up to 80% of their salary for hours not worked, was expanded significantly to cover all sectors and businesses, regardless of size. This expansion was facilitated by the European Union's Support to mitigate Unemployment Risks in an Emergency (SURE) initiative. Italy received 27.4 billion EUR from the SURE package, the highest allocation among EU member states. Nearly half of these funds were directed towards supporting STW schemes, enabling the government to enhance the financial assistance provided to workers and extend the duration of support (European Commission, 2021).

Despite the notable success of STW schemes in preserving jobs and stabilizing income during the pandemic, the implementation faced significant challenges. Administrative delays, income disparities among workers, concerns over long-term unemployment and other critical issues emerged, requiring attention. This policy brief aims to examine these weaknesses in detail and provide recommendations for improving the effectiveness and efficiency of STW schemes in Italy.

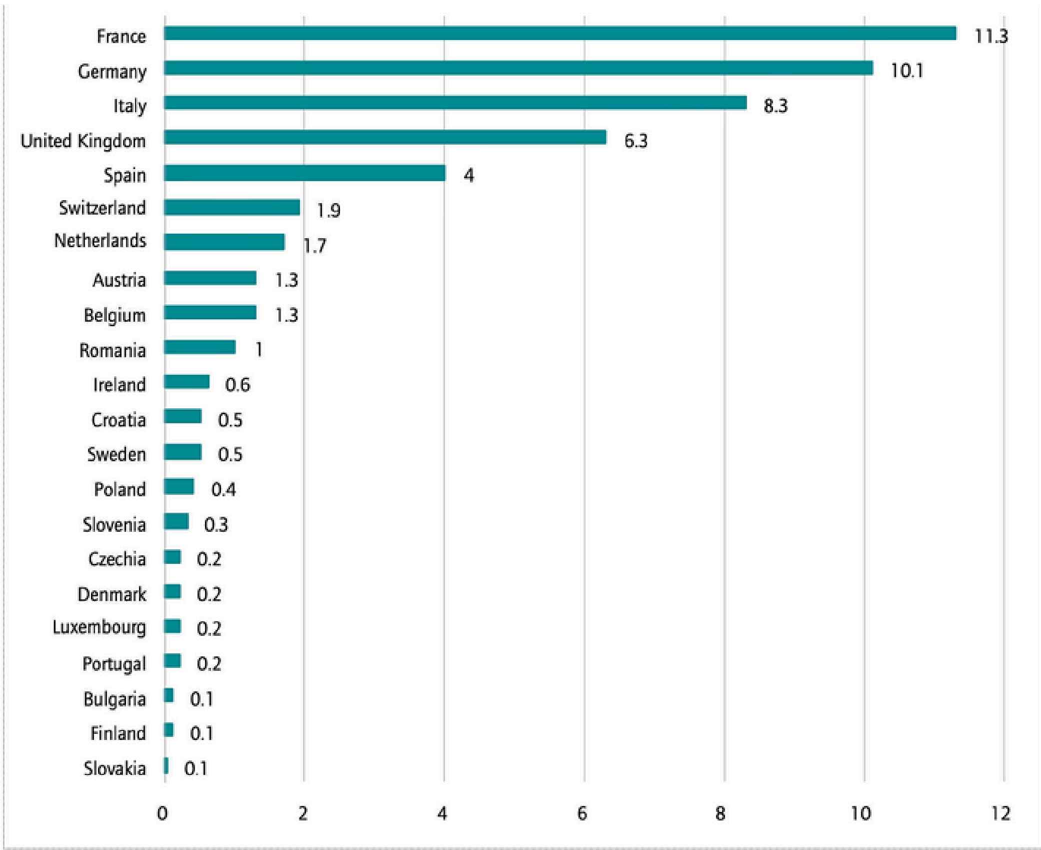

Figure 1 Number of workers (actual or applied for) participating in STW and similar schemes
Source: ETUI/WS

SHORTCOMINGS OF STW

Challenge 1: Unable to Overcome the Long Spells of Unemployment

STW benefits **unable to reduce unemployment in the long run:** With this benefit if the workers are kept in the firms or systems that are inefficient then there is a tradeoff between preventing the waste of productive labor force by deploying the STW scheme and allowing for relocation of jobs by letting the firms face the full consequences of the economic downturn. Thus, as it is a priori a difficult decision to know which of the effects are more important to implement for long term economic prosperity. Governments always struggle with this either-or decisions (Nordic Economic Policy Review - Nordiska Ministerrådet - Google Books, n.d.). Further various reforms took place post 2008 crisis in Italy to reduce unemployment to extend the STW benefit schemes to all types of workers after the COVID 19 pandemic. But despite its foreseen branding as an inclusionary scheme, it is still restrictive in terms of sectors i.e. Italy only offers STW to private spheres and not public sectors with the rationale that public sectors are more or less stable against economic downturns. Cahuc (2019) states that during the economic recession of 2008/9 it was found out that the short time work compensations had an important impact on preserving only the permanent jobs and not the temporary ones. Thus, bringing the discussion of the preservation of jobs of the insiders at the cost of those on the outside – STW is not able to solve the long run effects of unemployment and is merely a temporary solution.

Challenge 2: Unequal Access to STW Benefits Among Different Sectors

During the COVID-19 pandemic, the implementation of STW schemes in Italy faced challenges related to **unequal access among different sectors.** While reforms aimed to broaden the coverage of STW schemes to all workers, certain sectors, particularly smaller businesses and those in the informal economy, experienced difficulties in accessing these benefits. According to a study by Faioli and Bologna (2021), sectors such as agriculture and domestic work, which often have higher levels of informality, faced significant barriers in benefiting from STW schemes. This disparity led to unequal protection for workers and uneven economic resilience across sectors. For instance, small businesses and informal sector workers found the process of applying for STW benefits cumbersome and complex, resulting in many eligible workers not receiving the support they needed. Additionally, the lack of targeted communication and support for these sectors exacerbated the problem, leaving many workers in precarious financial situations despite the availability of aid. This issue highlights the need for more inclusive and accessible mechanisms to ensure that all sectors can equally benefit from government support measures during economic crises.

Challenge 3: Administrative Delays in STW Implementation

Another problem with the application and optimization of STW schemes in Italy was the **inability to handle a large number of requests** on time. Just within April and May 2020, the total number of requests for STW allowances exceeded the whole number of requests received in 2009, one of the worst years in terms of employment outcomes. As of May 21, the Social Security Administration (INPS) received more than 1.1 million requests for Cassa Integrazione Guadagni (CIG), 869,000 were authorized but only 510,000 were actually processed and paid. These delays were due to the long and complex procedure to grant workers unemployment benefits and to the increase in the number of applications following the lockdown. As of June 2020, out of roughly 3.5 million beneficiaries, 30,342 workers were still waiting for their benefits to be paid. Even though there were measures such as online platforms, the optimization of these online platforms for the number of unexpected requests took several months.

SHORTCOMINGS OF STW

Systems needed significant adaptations and scaling to process the increased load efficiently. In addition to that, the approval and processing of STW benefits involved coordination between employers, trade unions, and the INPS. Each of these entities had roles in verifying eligibility, authorizing applications, and ensuring compliance with regulations. The necessity for detailed documentation and verification added layers of bureaucracy. Employers needed to negotiate terms with trade unions, and these agreements had to be validated by INPS. Such a multi-step process, essential for preventing fraud and ensuring fairness, inadvertently slowed down the overall processing time. All of these compounded led to delays in both processing of data and approving the fund distributions.

POLICY RECOMMENDATIONS

Recommendation 1:

In order to address the limitations of STW concerning long term unemployment, the Italian government needs to deploy a dual strategy that balances the immediate job preservation that aids throughout the period of the crisis but also preservation of jobs with long term labor market dynamism. While providing STW benefits it is essential to facilitate retaining and reskilling programs so that when time comes the workers have easy mobility across sectors including both public and the private sphere. Thus, such an inclusive and adaptive policy framework will not only preserve jobs during economic downturns but also enhance the resilience and adaptability of the workforce, thereby reducing structural unemployment in the long run.

Recommendation 2:

To address the unequal access to STW benefits among different sectors, especially those with higher levels of informality, the Italian government should enhance outreach and support mechanisms. Simplifying the application process for STW benefits would make them more accessible to small businesses and informal sectors. Increasing awareness and providing targeted support would ensure that all eligible businesses and workers are informed about available benefits and how to access them. Additionally, developing tailored support packages for traditionally harder-to-reach sectors would guarantee adequate protection for workers in these areas during economic downturns. By tackling these challenges, Italy can ensure a more equitable and effective implementation of STW schemes, offering better support to all sectors and workers during economic crises. Enhanced outreach and support mechanisms, along with simplified application processes, would significantly improve the inclusivity and efficacy of STW schemes in Italy. This approach would help mitigate the economic impact of crises more evenly across different sectors, ensuring that all workers have access to necessary support and benefits during challenging times.

Recommendation 3:

An immediate solution that can be applied to lessen the delays in the processing of STW applications is creating a shared data system between entities like trade unions and INPS. A developed centralized database that all relevant parties can access will reduce redundant documentation and streamline the verification process. Moreover, there is a need to decentralize and delegate the work with application, and verification. Establishing regional processing centers and local assistance points can significantly improve the efficiency of Short-Time Work (STW) schemes by distributing the workload, reducing bottlenecks, and providing better support to applicants. There is no need to establish such centers everywhere. Still, they can be established by identifying key regions based on population density, economic activity, and historical application volumes to place processing centers strategically. Such an approach will help to work more efficiently regarding the time spent on all the processes.

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